

VICI PROPERTIES INC.

(NYSE: VICI)

Forty-Year Leases on Irreplaceable Real Estate, Priced Like an Ordinary REIT

BUY — \$39.00 Target

Equity Research Note · Real Estate — Experiential Net-Lease REIT · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
BUY	\$39.00	\$22.65	+72.2%	Medium-High

Current price as of October 2, 2026 close.

Snapshot

Market cap	~\$24.9 bn (1,101 mn sh × \$22.65)	Net leverage	~5.0× EBITDA; Baa3 / BBB- (investment grade)
Price (Oct 2, 2026)	\$22.65	Portfolio	103 experiential assets; ~39.7-yr weighted-average lease term
52-week range	~\$22.54 – \$33.01	Tenant concentration	Caesars ~39% / MGM ~33% of annualized rent
Dividend (annualized)	\$1.84 — ~8.1% yield; raised every year since formation	Rent collection	100% every year since inception (2017)
2026E AFFO / share	~\$2.46 (~9.2× P/AFFO)	Next catalyst	Q3 2026 earnings; accretive acquisition announcements
Payout ratio	~75% of AFFO		

1 Investment Thesis

VICI owns dirt and buildings you cannot build another of — Caesars Palace, MGM Grand, the Venetian — and leases them to operators under 40-year triple-net contracts in which the tenant pays everything from property taxes to maintenance. At \$22.65 the market prices those leases as though they carry the same risk as an average office REIT, and that is simply wrong. Occupancy has never meaningfully wavered, rent collection is a perfect 100% every year since the company's formation, and escalators of 2% or more compound year after year regardless of what the economy does. This is a bond-like compounding machine wearing a casino costume, and the costume is the entire discount.

The second leg of the thesis is external growth, and it is structural, not cyclical. VICI is one of very few counterparties that regional gaming operators, tribal nations, and experiential landlords can call when they want to monetize real estate at scale — and it has repeatedly funded those acquisitions at spreads accretive to adjusted funds from operations (AFFO) per share. Its investment-grade balance sheet gives it a cost of capital smaller buyers cannot match, so the deal pipeline is a durable advantage. Each accretive deal lengthens the compounding runway without asking shareholders to underwrite a dollar of development risk.

The third leg is diversification the market has not priced. VICI has moved beyond pure casino real estate into golf courses, youth-sports complexes, water parks, wellness resorts, and urban experiential assets — all under the same triple-net, long-lease model. Experiential real estate is one of the few property categories whose demand has grown through the post-pandemic cycle, and VICI is quietly becoming its landlord of record. The tenant-concentration objection — Caesars plus MGM are over 70% of rent — is real, but it is shrinking as the non-gaming book grows.

Our \$39.00 fair value is the probability-weighted result of a scenario DCF on VICI's distributable rental cash flows: \$26.70 in a genuine recession bear case, \$39.90 in the base case, \$49.50 in a bull case where the acquisition pipeline

reaccelerates. The base case needs nothing heroic — high-single-digit AFFO-per-share compounding from contractual escalators and \$1–3 billion a year of accretive deals, discounted at 9% for a triple-net franchise with 40-year leases. The dividend, which has grown every year, pays investors roughly 8% to wait while the compounding does the work.

Why the market will care (eventually)

- **The escalators are a growing organic engine.** Roughly 45% of the rent roll is CPI-linked in 2026, rising toward 87% by 2035 — a bond-like asset converting into a growing perpetuity, which is rare among net-lease REITs and worth a premium multiple once recognized.
- **Tenants' rent coverage is the cushion.** Las Vegas visitation and Strip gaming revenue have shown remarkable resilience, and healthy rent-coverage ratios mean the escalators keep compounding even if gaming revenue growth moderates. Regional assets are cash-generative boxes in supply-constrained markets that operators cannot easily relocate.
- **Rates are the risk, and it is already in the price.** As a REIT, VICI's multiple is sensitive to the long end of the curve — a valuation risk, not a business risk. At 9.2× forward AFFO with an 8% yield, a sustained higher-for-longer regime is more than reflected in the shares.

2 Business Overview — What VICI Properties Is Doing

(New York, New York; CEO Edward Pitoniak)

VICI Properties, formed in 2017 as the real-estate spin of Caesars Entertainment's restructuring and listed in February 2018, is an S&P 500 experiential REIT. It does not operate casinos. It owns the land and buildings — including three of the most iconic assets on the Las Vegas Strip — and leases them back to operators under long-term triple-net leases: the tenant pays property taxes, insurance, maintenance, and capital expenditures. VICI's income is contractual rent plus financing income from its loan book, not gaming revenue.

The portfolio spans 103 experiential assets (63 gaming, 40 other experiential) across the United States and Canada: roughly 130 million square feet, about 66,000 hotel rooms, more than 700 restaurants, bars, nightclubs and sportsbooks, four championship golf courses, and some 33 acres of undeveloped Strip-adjacent land. Sixteen tenants; effectively 100% occupancy and 100% rent collection every year since inception — run on roughly 28 employees, one of the most asset-light models in the S&P 500.

The lease architecture is the actual product. The weighted-average lease term is about 39.7 years including renewals, with whole-portfolio, cross-defaulted master leases backed by corporate guarantees. Two tenants dominate: Caesars at roughly 39% and MGM at roughly 33% of annualized rent (about \$3.2 billion total). Escalators are fixed 1–2% or the greater of 2% and CPI, typically capped at 3%. As a REIT, VICI distributes the bulk of taxable income as dividends; growth comes from contractual escalators, accretive acquisitions funded at spreads above its cost of capital, and real-estate-secured loan investments.

3 Financial Analysis

\$ bn	2022	2023	2024	2025
Total revenue	2.60	3.61	3.85	4.01
Operating cash flow	1.94	2.18	2.38	2.51
Free cash flow	1.94	2.18	2.37	2.51
Dividend / share	1.56	1.64	1.72	1.80

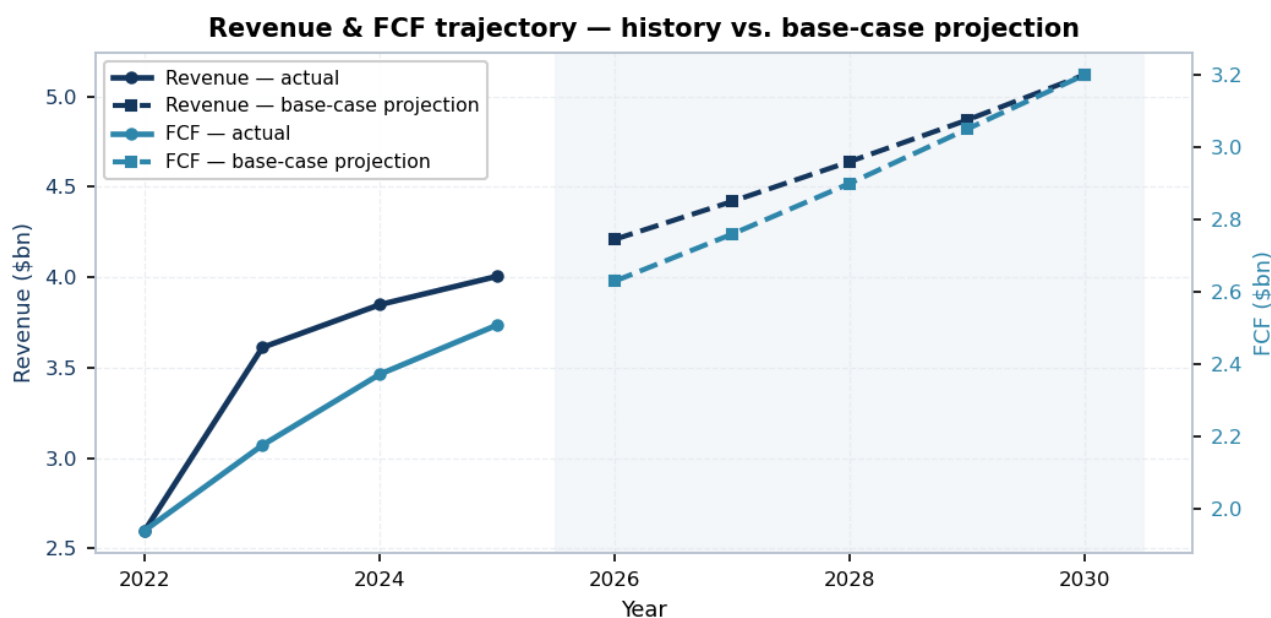
Sources: company filings via Yahoo Finance (annual). 2026E AFFO/share ~\$2.46 and dividend \$1.84 per company guidance and market data. FCF = operating cash flow less capex (capex de minimis under triple-net leases).

The P&L is cash rent, not gaming. Total revenue was \$4.01 billion in 2025, up from \$2.60 billion in 2022, driven by contractual escalators and acquisitions. Operating cash flow reached \$2.51 billion in 2025 against minimal capex — the triple-net model means the tenant, not VICI, funds property upkeep — so free cash flow conversion is among the

highest in the REIT universe. AFFO per share of roughly \$2.46 in 2026E puts the shares at about 9.2×, a multiple more appropriate to a cyclical landlord than to 40-year contracted cash flows.

The balance sheet is investment-grade (Baa3/BBB-) with laddered maturities and net leverage of about 5.0× EBITDA — moderate for a REIT with this lease duration. That rating is the strategic asset: it lets VICI fund acquisitions with debt and equity at a cost of capital smaller buyers cannot match, which is precisely what makes the external-growth flywheel turn. The dividend of \$1.84 per share (~8.1% yield) is covered at roughly 75% of AFFO, leaving retained cash flow plus the balance-sheet capacity to keep acquiring.

Revenue & cash-flow trajectory

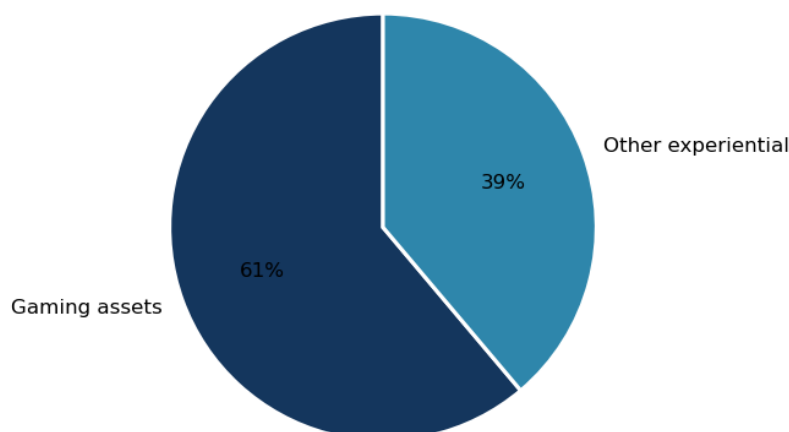


History: company filings via Yahoo Finance (FCF = operating cash flow less capex; capex is de minimis under triple-net leases). Projections: base-case distributable cash flows from the scenario DCF.

4 Moat & Competition

- **Irreplaceable real estate.** You cannot build another Caesars Palace on the Las Vegas Strip. Trophy experiential assets in supply-constrained destination markets give VICI pricing power no generic net-lease REIT can replicate.
- **Contract duration and structure.** Roughly 40-year weighted-average lease terms, whole-portfolio cross-defaulted master leases, corporate guarantees, and CPI-linked escalators convert a real-estate portfolio into a growing annuity — the closest thing to a moat in net lease.
- **Cost-of-capital advantage in acquisitions.** The investment-grade balance sheet makes VICI the buyer of choice for operators monetizing real estate at scale; smaller buyers cannot match its funding spreads, so the accretive-deal pipeline accrues to VICI first.
- **Collection record as evidence.** 100% rent collection through recessions, the pandemic shutdowns, and regional gaming downturns — the durability claim is not a projection, it is a track record.
- **The moat's weak link: tenant concentration.** Caesars and MGM are over 70% of rent. Distress at a top tenant is the single largest threat to the dividend, and the diversification into non-gaming experiential assets is the multi-year answer.

Portfolio by asset type — 103 experiential assets

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5 Valuation — 10-year scenario DCF on distributable rental cash flows (AFFO), Fair Value \$39

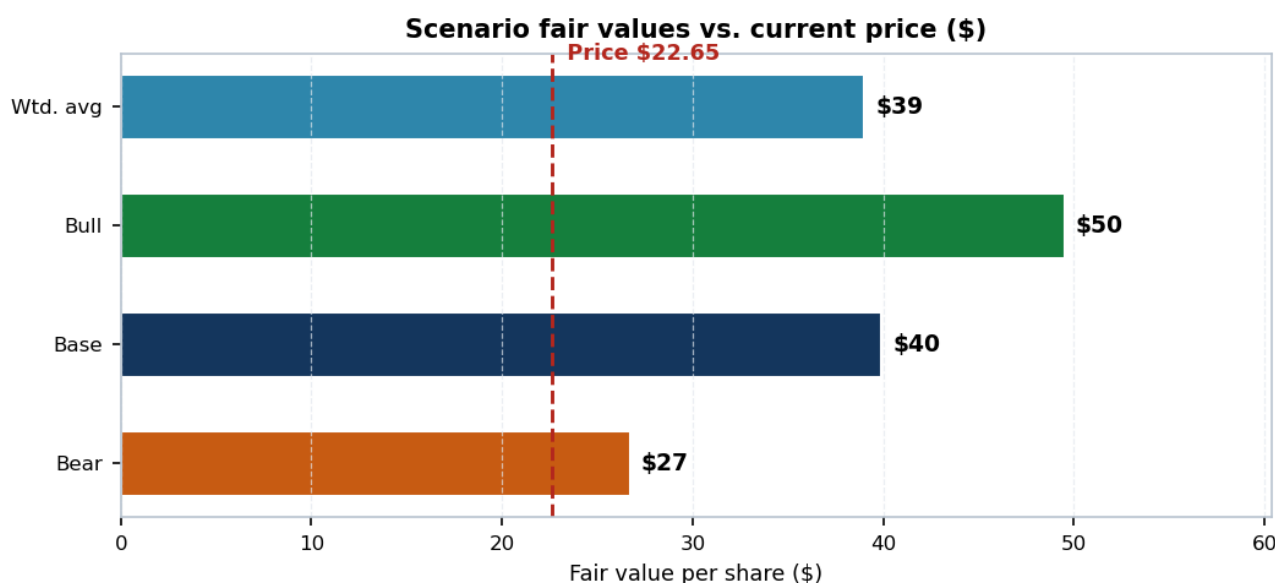
We value VICI on a 10-year probability-weighted scenario DCF of distributable rental cash flows — weights bear 25% / base 50% / bull 25% — with scenario-specific discounts: bear 11.5% (base + 250bp: recession pricing, compressed REIT multiples), base 9.0% (the stable-franchise rate, reflecting 40-year triple-net leases with investment-grade tenants), bull 8.0% (base – 150bp, floored at 8%). Terminal growth is 1.0% / 2.0% / 2.5% on normalized rental cash flows — never peak economics — and the terminal value is a minority of enterprise value, consistent with a business whose value sits in visible contractual cash flows rather than distant assumptions.

In the base case, AFFO per share compounds at a high-single-digit rate, driven by contractual escalators of roughly 2% plus a steady cadence of accretive acquisitions funded at spreads above the cost of capital. The bear case assumes a genuine recession that pressures tenant earnings and rent coverage, a freeze in the acquisition market, and a higher-for-longer rate environment that keeps REIT multiples compressed; the resulting \$26.70 fair value sits well below the current \$22.65 price on a multiple basis only in the sense that the whole sector derates — the cash flows themselves are contractual. The bull case assumes the acquisition pipeline reaccelerates as operators monetize real estate, Strip and regional gaming revenue grow, and the non-gaming experiential book scales — justifying a premium multiple for the scarcity of the assets. The probability-weighted fair value equals our \$39.00 target: a forward AFFO multiple in line with high-quality net-lease REITs, not the distressed multiple the shares carry today.

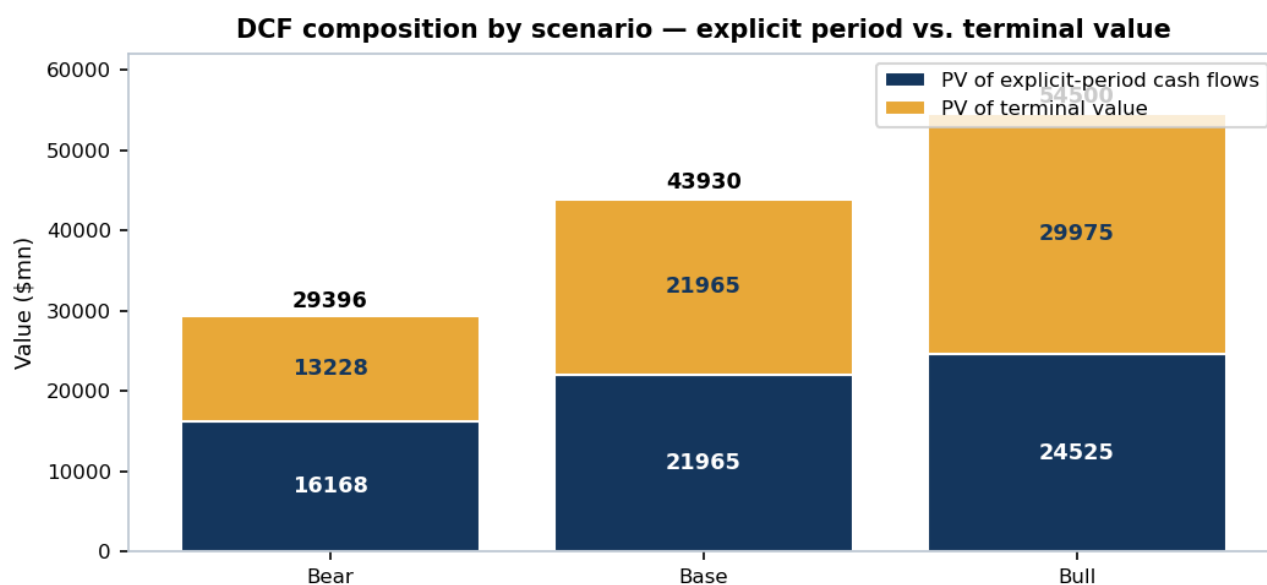
Scenario	Key assumptions	Rev CAGR	End margin	Discount / term. g	TV share	Fair value
Bear	Genuine recession pressures tenant earnings and rent coverage; acquisition market freezes; higher-for-longer rates keep REIT multiples compressed	+2.0%	92%	11.5% / 1.0%	45%	\$26.70
Base	AFFO/share compounds at high-single-digit rate on ~2% contractual escalators plus \$1-3B/yr accretive acquisitions funded above the cost of capital	+5.5%	93%	9.0% / 2.0%	50%	\$39.90
Bull	Acquisition pipeline reaccelerates as operators monetize real estate; Strip and regional gaming revenue grow; non-gaming experiential book scales	+8.0%	94%	8.0% / 2.5%	55%	\$49.50
Wtd. avg	Probability-weighted (25/50/25) → \$39.00 target					\$39.00

Scenario fair values are per-share equity values from the AFFO DCF (1,101 mn shares). $0.25 \times \$26.70 + 0.50 \times \$39.90 + 0.25 \times \$49.50 = \39.00 .

Scenario fair values vs. current price (\$)



DCF composition by scenario



Stacked bars show the present value of explicit-period cash flows (dark) versus the present value of the terminal value (gold), in \$mn. A heavy terminal-value share means the call rests on the long run, not the forecast window.

6 Risks & Falsification

Key risks

- **Tenant concentration.** Caesars and MGM account for a large share of rental revenue; distress at a top tenant would be the single largest threat to the dividend.
- **Gaming cyclical.** A deep recession would reduce tenant earnings and rent-coverage ratios, even though leases are contractual and the collection history is perfect.
- **Interest-rate sensitivity.** As a REIT, VICI's share price and cost of capital are exposed to long-term Treasury yields regardless of operating performance.

- **Acquisition execution.** The external-growth thesis depends on finding accretive deals; overpaying or funding deals with expensive equity would dilute AFFO per share.
- **Regulatory and regional competition.** New gaming supply or adverse regulatory changes in key markets could pressure tenant economics over time.

What would change our mind

Downgrade to HOLD on: a dividend cut or a payout ratio pushed permanently above sustainable levels — the dividend record is the core evidence for the thesis; a major tenant bankruptcy, lease rejection, or rent concession that breaks the perfect collection record; two consecutive years of declining AFFO per share, signaling that escalators and acquisitions no longer offset dilution; a large acquisition funded at a spread dilutive to AFFO per share, indicating discipline has slipped; or a sustained rise in long-term rates that reprices the entire REIT sector to yields that make the \$39.00 target multiple unattainable. We watch: tenant earnings and rent-coverage ratios, acquisition funding spreads, and the 10-year Treasury.

7 Methodology

Our valuation is a probability-weighted scenario DCF. We model bear, base, and bull cases over an explicit 10-year forecast horizon, weighted 25% / 50% / 25%. Discount rates are scenario-specific: the base rate reflects fundamental business risk (9% for stable franchises, 10% standard, 12% or higher for speculative situations); the bear case adds 250bp, the bull case subtracts 150bp (floored at 8%). Terminal value assumes no more than 2.5% perpetual growth applied to normalized mid-cycle margins — never peak margins — and any terminal value exceeding 70% of enterprise value is haircut and disclosed. Bear cases are required to be genuinely adverse and to sit below the current price. Management guidance is never accepted at face value; it is independently tested and haircut where evidence warrants. For this REIT the scenario cash flows are distributable rental cash flows (AFFO) rather than corporate free cash flow, but the framework is identical.

This note is independent research-style analysis for informational purposes only and is not investment advice. Financial figures are drawn from company releases and SEC filings; market data as of October 2, 2026. Projections and the price target are the author's estimates and involve uncertainty. Past performance does not predict future results.